

Your 401(k): Paychex Today vs. ADP

A side-by-side look at what you pay now — and what you would pay with ADP

PREPARED FOR**Bin**

Quality Care Physical Therapy & Acupuncture PLLC

PREPARED BY

Eli Colman

ADP Small Business Services

CONTACTEli.Colman@adp.com

347.205.2765

DATE

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TOTAL PLAN ASSETS \$218,287.59 Active \$210,473.19 · Terminated \$7,814.40	BILLED PARTICIPANTS 7 35 active employees · 44 total accounts	COMPARISON BASIS Apples-to-Apples Both columns use your actual assets & participants
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The core difference: Your Paychex administration fee is **variable** — it has already crept up this year, and keeping it down means calling in to renegotiate. ADP's fee is a **fixed, contractual formula**: a set base plus \$2.50 per participant. As your plan grows, the only headcount-driven increase on ADP is that \$2.50 per added participant.

1. Administrative & Recordkeeping Fees

WHAT YOU PAY TO RUN THE PLAN

Paychex figures are taken directly from your recent billing statements. ADP figures use the fixed pricing from your proposal, applied to your actual plan size.

LINE ITEM	PAYCHEX (CURRENT)	ADP (PROPOSED)
Base / monthly admin fee	\$150.00 / mo × 12 = \$1,800.00 (variable)	\$125.00 / mo × 12 = \$1,500.00 (fixed)
Per-participant fee	\$6.00 × 7 × 12 = \$504.00 (variable)	\$2.50 × 7 × 12 = \$210.00 (fixed)
Plan document / setup fee	\$30.00 / quarter × 4 = \$120.00	\$0.00 setup
Asset-based recordkeeping fee	None stated separately (see funds below)	0.450% × \$218,287.59 = \$982.29
Annual administration cost	\$2,424.00	\$2,692.29

Your Paychex admin fee is moving. Your statements show the base admin fee rose from **\$135** → **\$150/mo** and the per-participant fee from **\$5** → **\$6** within a few months, with extra back-billed “adjustments.” Paychex’s own disclosures confirm these rates are “set forth on your invoice” and can change. ADP’s base (\$125) and per-participant (\$2.50) are locked by contract.

2. Investment & Fund Expenses

THE HIDDEN ASSET-BASED DRAG

These come out of your participants’ returns, not a separate bill — so they are easy to miss. They scale directly with assets.

LINE ITEM	PAYCHEX (CURRENT)	ADP (PROPOSED)
Fund lineup	Fidelity Advisor “M” shares	Low-cost institutional lineup
Fund expense ratio	0.60% – 1.45%	0.070%
Revenue sharing paid back to provider	25 – 50 bps embedded in funds	None
3(38) investment management (fiduciary)	Not offered — Paychex is not a fiduciary	0.100% × \$218,287.59 = \$218.29
Est. annual investment cost	\$1,310 – \$3,165 (≈ \$2,183 at 1.0%)	\$371.09 (\$152.80 funds + \$218.29 3(38))

Why this matters most: Paychex’s Fidelity Advisor M-share funds cost roughly **1% per year** on a typical target-date allocation, and 25–50 bps of that is revenue-sharing routed back to Paychex. ADP’s funds run **0.07%**. On your \$218K balance that is a difference of roughly **\$2,000 every year** — and it grows as the plan grows. ADP also includes a 3(38) investment manager who takes legal fiduciary responsibility for fund selection; Paychex does not.

All-In Annual Cost

AT YOUR CURRENT \$218,287.59 / 7 PARTICIPANTS

COST COMPONENT	PAYCHEX (CURRENT)	ADP (PROPOSED)
Administration & recordkeeping	\$2,424.00	\$2,692.29
Investment / fund expenses (est.)	\$2,182.88 (~1.0%)	\$371.09
Estimated all-in annual cost	\$4,606.88	\$3,063.38
ESTIMATED ANNUAL SAVINGS WITH ADP \$1,543.50 \$4,606.88 (Paychex) – \$3,063.38 (ADP), at current assets		TOTAL ASSET-BASED DRAG 0.62% vs ~1.0% ADP all-in (0.45% + 0.10% + 0.07%) vs Paychex fund expenses

3. As Your Plan Grows

THE GAP WIDENS

Both plans have asset-based components, but Paychex's are higher *and* its admin fee is discretionary. The more your plan grows, the more ADP saves.

PLAN ASSETS	PAYCHEX ALL-IN (EST.)	ADP ALL-IN	ANNUAL SAVINGS WITH ADP
\$218,288 (today)	\$4,607	\$3,063	\$1,544
\$350,000	\$5,924	\$3,880	\$2,044
\$500,000	\$7,424	\$4,810	\$2,614

Assumes Paychex fund expenses at ~1.0% and the current admin fee held flat (in practice it has been rising). ADP figures use the contractual formula: \$1,500 base + \$2.50/participant + 0.45% + 0.10% + 0.07%.

Bottom line: Paychex looks cheaper on the admin line, but its ~1% fund expenses, embedded revenue-sharing, and a variable admin fee make it more expensive all-in — roughly **\$1,540 more per year today**, widening as you grow. ADP is lower all-in, transparent, contractually fixed on the dollar fees, and includes a 3(38) fiduciary.

Notes & assumptions. Paychex admin/per-participant figures are from your billing statements dated Mar–May 2026; the plan document fee is \$30/quarter. Paychex fund expense ratios (0.60%–1.45%) and 25–50 bps revenue sharing are from the Paychex fee disclosures; the all-in estimate uses a ~1.0% midpoint and your actual fund mix will vary. ADP figures are from your ADP Retirement proposal pricing (base \$125/mo, \$2.50/participant/mo, 0.450% recordkeeping asset fee, 0.100% 3(38), 0.070% fund expenses, \$0 setup),

applied to your actual plan assets of \$218,287.59 and 7 billed participants. This is an estimate for comparison only and is subject to ADP's official 408(b)(2) disclosure and executed agreements.

Prepared by Eli Colman · ADP Small Business Services · Eli.Colman@adp.com · 347.205.2765
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